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LOHMAN v. ESCROW MART, INC. et al.

Escrow

Mart, Inc.'s Demurrer and Motion to Strike the First Amended Complaint

Defendant Escrow Mart, Inc.'s demurrer and motion to strike portions of the First Amended Complaint are set for hearing on September 24, 2026, at 8:30 a.m. in Department A15. The Court has considered the First Amended Complaint and its exhibits; the moving papers, supporting declarations of Elizabeth V. Duran, and request for judicial notice; plaintiff's oppositions; defendant's replies and accompanying judicial notice materials; and the prior ruling and procedural record identified below. The Court issues the following tentative ruling.

DISPOSITION

1. The request for judicial notice is granted as to the existence and filing of the Construction Services Escrow Agreement attached as exhibit 1 to the declaration of Josephine B. Langston filed December 11, 2025. The request is denied insofar as it seeks acceptance of disputed factual statements or a determination that the attached agreement exclusively defines the parties' relationship.

2. Escrow Mart, Inc.'s demurrer to the ninth cause of action for false advertising is sustained with leave to amend. The demurrer to the first through eighth and tenth through thirteenth causes of action is overruled.

3. The motion to strike paragraph 1 of the prayer for compensatory damages is denied. The motion to strike paragraph 6 of the prayer for punitive damages is granted as to Escrow Mart, Inc., with leave to amend.

4. If this tentative ruling is adopted, plaintiff may file and serve a Second Amended Complaint curing the false advertising and punitive damages deficiencies within 20 days after service of notice of the ruling. Defendant shall respond within the time provided by law. Plaintiff shall give notice of the ruling.

REASONS

A. Introduction and Procedural History

Escrow Mart challenges all 13 causes of action in plaintiff Slade A. Lohman's First Amended Complaint (FAC), filed April 7, 2026, and seeks to strike the demands for \$5 million in compensatory damages and punitive damages. The March 13, 2026 ruling sustained a demurrer to the original claims for conversion and recovery of personal property with leave to amend. The deficiencies included the absence of sufficient allegations establishing plaintiff's right to immediate possession of the entire fund and Escrow Mart's authorization to pay plaintiff directly. (Duran Decl. in Supp. Demurrer, Ex. A, Memorandum Decision, pp. 2-4.) The Court subsequently permitted an expanded amended complaint.

Plaintiff objects that the opening demurrer memorandum exceeds the page limit by one page. The Court exercises its discretion to consider the memorandum. The excess is slight, and plaintiff submitted a substantive opposition addressing the challenged claims. (Cal. Rules of Court, rules 3.1113(d), (g), 3.1300(d); Opp'n to Demurrer, p. i; Reply to Opp'n to Demurrer, p. 2, fn. 1.)

B. Factual Background

The FAC alleges that Lohman and other lenders financed Kozun's residential construction project through All American Financial. Escrow Mart held and administered the construction funds. Plaintiff alleges a longstanding oral agreement with Escrow Mart, continued for this project, requiring inspections at important construction stages, verification that

disbursements paid for completed work, and return of unspent funds upon the borrower's default. The lenders allegedly deposited \$675,000 for the original loan and another \$45,500 upon refinancing, paid Escrow Mart's fees, and held security interests in the deposited funds. (FAC, ¶¶ 5-7, 20-26, 42-44.)

According to the FAC, Escrow Mart disbursed funds without the promised inspections and for work that had not been performed, failed to disclose those practices, and left unpaid claims against the project. Shortly before March 20, 2025, plaintiff allegedly learned that construction had ceased and was behind schedule. The loan matured without payment on April 7, 2025. Escrow Mart allegedly refused demands to return the remaining construction funds unless the lenders released claims arising from its prior disbursements. Plaintiff alleges that he acquired all lender interests, foreclosed on the property, and sustained loss from the incomplete project, impaired collateral, delay, and retained funds. He claims a remaining fund of \$337,410.07. (FAC, ¶¶ 28-38.)

C. Legal Standard

A general demurrer tests whether the pleaded facts state a cause of action. The Court accepts properly pleaded material facts, reads the complaint reasonably and as a whole, and considers properly noticed matters. It does not accept bare legal conclusions or resolve disputed evidence. Leave to amend is appropriate when there is a reasonable possibility that amendment can cure the defect; plaintiff bears the burden of showing that possibility. (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.) A motion to strike may reach irrelevant or improper matter, including a demand for relief unsupported by the allegations. (Code Civ. Proc., §§ 431.10, subd. (b)(3), 436.)

D. Discussion and Analysis

1. Judicial notice and the written escrow agreement

The request identifies Langston's previously filed declaration and its agreement, although the opening request omitted the attachment. The reply supplies the identified materials. Plaintiff disputes both the omission and the use of the declaration to establish the truth of Escrow Mart's account. The Court may notice the existence and filing of a court record, but ordinarily may not accept disputed factual assertions within that

record as true. (Evid. Code, § 452, subd. (d); *Lockley v. Law Office of Cantrell, Green, Pekich, Cruz & McCort* (2001) 91 Cal.App.4th 875, 882.) This limitation applies to factual statements in filed declarations. (*Oh v. Teachers Ins. & Annuity Assn. of America* (2020) 53 Cal.App.5th 71, 81.)

The written agreement restricts duties to its terms, addresses inspection and disbursement discretion, permits withholding or interpleader in specified circumstances, and regulates assignments and conflicting prior agreements. (Langston Decl., Ex. 1, §§ 3.07, 3.11, 4.02-4.03, 5.04, attached to Reply in Supp. Request for Judicial Notice, Ex. A.) Those provisions may be important on the merits. They do not establish as an indisputable fact that Escrow Mart never separately accepted the lenders' instructions or that those lenders agreed to supersede their alleged undertaking. A disputed interpretation or application of a noticed contract cannot be used to resolve such factual questions on demurrer. (*Fremont Indemnity Co. v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 113-114.) The prior grant of judicial notice did not adjudicate those questions against allegations not then adequately pleaded.

2. Breach of contract and promissory estoppel: first and second causes of action

The FAC now identifies the asserted oral undertaking, its participants, consideration, performance, and breach. Paragraph 20 describes promises made through Escrow Mart's president, Robert Langston, concerning inspections, controlled disbursements, and return of funds upon default. Paragraphs 21-22 connect that undertaking to this project. Paragraph 42 alleges a project agreement made on or about May 19, 2023, through All American on behalf of the lenders, their deposits and fees, and their performance. Paragraphs 28-31 and 43-44 allege breaches causing loss. These allegations supply substantially more than a vague appeal to industry custom or a lender's unilateral expectation.

An escrow holder's acceptance of separate lender instructions may create enforceable contractual obligations. (*Money Store Investment Corp. v. Southern California Bank* (2002) 98 Cal.App.4th 722, 728-729.) Accepting the FAC's allegations for this purpose, Escrow Mart's reliance on the borrower's written agreement does not defeat the alleged direct agreement. Because this theory is sufficient, the Court need not resolve plaintiff's alternative third party beneficiary theory.

The estoppel claim alleges definite promises, foreseeable and actual reliance in selecting Escrow Mart and depositing the funds, and resulting injury. (FAC, ¶¶ 47-51.) Escrow Mart argues that the alleged bargained-for performance establishes consideration and therefore forecloses promissory estoppel. An enforceable contract, if established, may make that alternative unnecessary. At the pleading stage, however, plaintiff may plead contract and promissory estoppel inconsistently where the contractual premise remains disputed. (Newport Harbor Ventures, LLC v. Morris Cerullo World Evangelism (2016) 6 Cal.App.5th 1207, 1224-1225, affd. on other grounds (2018) 4 Cal.5th 637 (Newport Harbor Ventures).) The first and second causes of action are sufficient.

3. Money had and received and restitution: third and fifth causes of action

Plaintiff alleges that Escrow Mart received the funds for the lenders' benefit, misused disbursements intended to improve their collateral, and wrongfully retains the remaining balance despite the alleged right to its return. (FAC, ¶¶ 20-26, 33-37, 53, 62.) Funds may benefit a borrower through construction while also serving the lenders' alleged security and controlled disbursement purposes. The allegations therefore are not defeated merely because the original deposits represented loan proceeds.

Restitution is available for unjust retention of a benefit at another's expense. (Professional Tax Appeal v. Kennedy-Wilson Holdings, Inc. (2018) 29 Cal.App.5th 230, 238.) The fifth claim alleges that substance, including retention to obtain a release of Escrow Mart's potential liability, rather than merely attaching a remedy label to no underlying facts. Although a valid express contract governing the same subject ordinarily precludes quasi-contract recovery, alternative pleading remains permissible while the asserted contract is disputed. (Newport Harbor Ventures, supra, 6 Cal.App.5th at pp. 1222-1223.)

The demurrer to these claims is overruled.

4. Fiduciary duty and negligence: fourth and eleventh causes of action

Escrow Mart contends that plaintiff is a nonparty to its written agreement and therefore is owed no duty. An escrow holder is a limited agent and fiduciary whose obligations ordinarily are defined by the

escrow instructions. (Summit Financial Holdings, Ltd. v. Continental Lawyers Title Co. (2002) 27 Cal.4th 705, 711 (Summit Financial).) The FAC alleges more than plaintiff's economic interest in someone else's escrow: it alleges Escrow Mart's direct acceptance of lender funds and instructions for the lenders' protection. (FAC, ¶¶ 20-26, 42, 44, 55-60.) Those allegations adequately plead the relationship and its asserted scope.

The alleged failures to perform the accepted inspection and disbursement functions, disclose their nonperformance, and return funds as agreed support the pleaded breaches and resulting loss. The negligence claim also alleges a failure to exercise reasonable care in carrying out that fiduciary undertaking. (FAC, ¶¶ 56-60, 78-81.) The Court does not read into the law a general duty on every escrow holder to inspect construction or protect every lender. It concludes only that the specific duties alleged here cannot be eliminated on demurrer by treating the disputed written agreement as the only undertaking. Both claims survive the grounds presented.

5. Intentional interference and declaratory relief: sixth and seventh causes of action

The interference claim identifies the loan and security contracts, Escrow Mart's knowledge of them, intentional disbursements allegedly designed to disrupt them, resulting default, and damage. (FAC, ¶¶ 28-32, 64-66.) Escrow Mart's reply does not press its argument that involvement in the overall transaction alone makes it immune from interference liability. (Reply to Opp'n to Demurrer, p. 8.) Its remaining contention that the FAC alleges no connection between the disbursements and default overlooks paragraph 65, read with the allegations of payment for unfinished work and abandonment of construction. Whether plaintiff can prove intentional interference and causation remains for later determination.

The declaratory relief claim incorporates the allegations describing a present dispute about obligations concerning funds Escrow Mart allegedly continues to hold. (FAC, ¶¶ 33-37, 67-68.) The controversy concerns present contractual and property rights, not only damages for completed misconduct. The incorporation identifies a concrete dispute within Code of Civil Procedure section 1060. The demurrer to the sixth and seventh causes of action is overruled.

6. Unfair competition and false advertising: eighth and ninth causes of action

The unfair competition law reaches unlawful, unfair, and fraudulent business practices in the alternative. (*Cel-Tech Communications, Inc. v. Los Angeles Cellular Telephone Co.* (1999) 20 Cal.4th 163, 180.) Plaintiff relies on the alleged use of entrusted funds to force a release of claims arising from Escrow Mart's own disbursement practices. (FAC, ¶¶ 33, 55-60, 62, 69-71; Opp'n to Demurrer, p. 14.) In the context of the pleaded fiduciary relationship, those allegations identify an asserted unfair practice beyond a failure to pay an ordinary contract debt. A single act is not categorically outside the statute. (*Klein v. Earth Elements, Inc.* (1997) 59 Cal.App.4th 965, 968, fn. 3.)

Plaintiff alleges economic injury and seeks return of the specific retained funds. (FAC, ¶¶ 33-38, 70-71; prayer, ¶¶ 2, 4.) Although compensatory damages are unavailable under this statute, the allegations supporting restitution of the retained funds prevent that limitation from defeating the entire claim. (Bus. & Prof. Code, §§ 17203, 17204.) The eighth cause of action does not depend on the sufficiency of the separate false advertising claim.

The ninth claim has a different defect. The FAC identifies website advertising in paragraph 6 and exhibit 1, including statements about inspection and payment practices. It does not allege that plaintiff encountered or relied on that advertising in selecting Escrow Mart or depositing the funds. Instead, the selection and reliance allegations concern the oral promises and prior performance. (FAC, ¶¶ 20, 48, 72-73.) Private standing for an advertising based economic injury requires the causal connection supplied by actual reliance. (Bus. & Prof. Code, § 17535; *Kwikset Corp. v. Superior Court* (2011) 51 Cal.4th 310, 326-327.) Incorporating the advertisement does not itself supply that connection. The demurrer to the ninth cause of action is sustained with leave to allege reliance and resulting economic injury if plaintiff can truthfully do so.

7. Fraudulent concealment: tenth cause of action

The tenth claim alleges concealment of the failure to inspect, verify completed work, and properly control disbursements. It alleges knowledge, an intent to prevent the lenders from removing the remaining funds or replacing Escrow Mart, continued reliance, and loss. (FAC, ¶¶ 25-31, 75-76.)

The alleged fiduciary undertaking supplies the asserted disclosure duty.

Escrow Mart applies the particularity requirements for affirmative misrepresentations without adequately accounting for the pleaded nondisclosure. Specificity must be adapted to concealment, especially where the relevant internal knowledge lies with the defendant. (*Alfaro v. Community Housing Improvement System & Planning Assn., Inc.* (2009) 171 Cal.App.4th 1356, 1384.) Here the FAC identifies the transaction, concealed practices, period of disbursements, reason disclosure was required, intended effect, and resulting loss. It is not necessary to plead the speaker and communication method of a statement alleged never to have been made. The tenth cause of action is sufficiently particular.

8. Conversion and recovery of personal property: twelfth and thirteenth causes of action

A bare contractual right to payment does not necessarily support conversion, but an interest created by a security agreement may support the requisite possessory right. (*Farmers Ins. Exchange v. Zerlin* (1997) 53 Cal.App.4th 445, 452.) The FAC identifies a specific fund and alleges security and assignment rights, Escrow Mart's notice and acceptance, a direct undertaking to return funds upon default, demand, and wrongful retention. (FAC, ¶¶ 20-26, 32-37, 83-87.) Those additional allegations address the central deficiencies identified in the prior ruling.

Escrow Mart's reliance on *Summit Financial* does not establish that assignment rights are irrelevant. That decision distinguishes an assignment by an escrow principal from an assignment between persons outside the escrow. (*Summit Financial, supra*, 27 Cal.4th at pp. 713-714.) The earlier assignment decision it distinguishes also rejects the proposition that retaining assigned funds, rather than paying them to another person, necessarily avoids liability. (*Builders' Control Service of Northern Cal., Inc. v. North Am. Title Guaranty Co.* (1962) 205 Cal.App.2d 68, 74.) Here the pleaded security, assignment, and direct acceptance allegations cannot be rejected by accepting Escrow Mart's competing account as established fact.

The thirteenth claim alleges the ultimate right to possession and wrongful withholding, supported by the incorporated agreements and assignments. (FAC, ¶¶ 89-90.) A claim for recovery of personal property may plead that ultimate possessory right without setting out all evidentiary facts establishing its source. (*Commercial & Savings Bank of Stockton v. Foster* (1930) 210 Cal. 76, 79-80.) The

Court need not determine that Commercial Code section 9604, standing alone, compels disbursement, because the claim also rests on the alleged agreements and accepted assignment.

9. Compensatory and punitive damages

Escrow Mart asks to strike the \$5 million compensatory damages prayer because selected loss allegations total approximately \$2.1 million. A prayer unsupported by the allegations may be stricken under Code of Civil Procedure section 431.10, subdivision (b)(3). But the FAC does not plead the selected figures as an exclusive maximum. It alleges completion costs of no less than \$1,016,000, impaired collateral, delay, and unpaid interest, in addition to the retained fund. (FAC, ¶¶ 33-38, 43, 60.) Neither the recoverability nor the precise measure of those losses is established by adding selected figures on a pleading motion. Because viable claims for compensatory relief remain and the asserted ceiling has not been established, the request to strike paragraph 1 is denied.

The punitive damages request presents a narrower defect. Fraudulent concealment can provide a substantive predicate, but corporate punitive liability requires the participation, authorization, or ratification specified in Civil Code section 3294, subdivision (b), by an officer, director, or managing agent. Managing agent status depends on substantial discretionary authority over corporate policy, not a managerial title alone. (*White v. Ultramar, Inc.* (1999) 21 Cal.4th 563, 573.) Ratification requires actual knowledge of the conduct and its outrageous nature, together with an intent to adopt or approve it. (*College Hospital Inc. v. Superior Court* (1994) 8 Cal.4th 704, 726.)

Paragraph 20 identifies Robert Langston as president in connection with the original promises and prior proper performance, not the later concealment. Paragraph 33 calls Mike Strong the manager and connects him to the refusal to release funds, but does not allege his corporate policymaking authority or an officer's knowing authorization or ratification of actionable fraud, oppression, or malice. Demand letters addressed to Josephine Langston do not themselves establish the required culpable corporate involvement. (FAC, Exs. 8-9.) The corporate attribution allegations therefore are insufficient. The motion is granted as to paragraph 6 of the prayer against Escrow Mart, with leave to amend supporting ultimate facts.

The March 13 ruling addressed the original possessory claims and did not adjudicate the false advertising or corporate punitive liability deficiencies presented here. The identified advertising, relationship, and corporate actors provide a reasonable possibility that additional facts could cure the specific defects. Leave to amend is therefore appropriate.

To submit without oral argument, all parties must follow the Department's "Submitting on a Tentative Ruling" instructions. Only one joint email may be sent. Do not telephone the courtroom. If the parties do not unanimously agree to submit, any party may appear at the scheduled hearing without advance notice.